5.4 Deficits and Debts

Video: Deficits and Debts (Crash Course Economics)

Deficit vs. Debt

Term	Definition
Budget _____	When the government spends more than it brings in from tax revenue in a given year
	An accumulation of budget deficits over time

Example: Cliffordonia has a $100 deficit in year one and a $200 deficit in year two, so its debt is _____.

Measuring the U.S. Debt

When the video was made, the U.S. national debt was a little over _____ dollars.

To compare debt over time, first adjust for _____. Then look at debt as a percent of _____, since a bigger economy can sustain more debt.

Several countries have much higher debt-to-GDP ratios than the U.S. Some are in crisis, like _____, while others, like Japan and France, are stable.

What Drives Future Deficits?

Economists are less worried about falling tax revenue and more worried about _____.

About a quarter of the federal budget goes to _____, and another quarter goes to healthcare programs, such as _____ for retired people.

These programs are expected to grow as _____ retire and live longer.

Why Too Much Borrowing Can Be a Problem

There is a finite pool of _____ to borrow from. If the government borrows a lot, there may be fewer loans available for businesses.
Lenders may fear they won't be paid back and charge higher _____.
A government that cannot pay its bills goes into _____, as happened in Greece, Argentina in 2001, and Russia in 1998.

The Debt Ceiling and Some Good News

The _____ is a cap on how much debt the U.S. Treasury can issue. By itself, it does not cut spending or raise revenue.

Lenders charge the U.S. very low interest, which shows they are _____ the government can pay them back.

Whether the debt is a serious problem depends on what you are looking at and on your political point of view. People who weigh the risks of borrowing differently reach different conclusions.

Think About It

How is a government running a deficit similar to (or different from) a person using a credit card? _____